

NVIDIA Corporation

NVDA NASDAQ

Buy

\$219.02 ▼ 0.09%

12M Price Target
\$250.00

52-Week Range
\$164.07 – \$236.54

Market Cap
\$5.31T

NVDA: SpaceX Deal + AI Spending Wave Keeps Momentum

WHAT HAPPENED

- NVDA basically flat this morning (\$219, -0.09%) but that's after a monster 9% run in 4 sessions (\$200 → \$219). The catalyst was Musk saying SpaceX will exclusively use NVDA chips — that matters less for the revenue dollars and more for the signal: even the most vertically-integrated tech empires can't build their own AI silicon fast enough to skip Jensen.
- Options flow is screaming bullish — Put/Call ratio of 0.39 means traders are buying nearly 3 calls (bets the stock goes up) for every 1 put (bets it goes down). That's aggressive positioning into what's likely an August earnings setup.

WHY IT MATTERS

Here's what the SpaceX news really tells you: the AI compute shortage is still real in mid-2026, which means pricing power for NVDA hasn't broken down the way bears predicted a year ago. The stock at 76% of its 52-week range with bullish options flow suggests smart money is positioning for another leg up, likely into the August earnings print. The bigger picture — federal AI spending under the current admin's AI Action Plan and the CHIPS Act 2.0 discussions in Congress — creates a policy floor under demand that didn't exist in prior semi cycles. When both government AND private hyperscalers are buying flat-out, cyclicalities gets muted.

POLICY & POLITICAL WATCH

Two things to watch: (1) The Trump admin's AI export policy — the H20 chip situation with China reopened earlier this year, and any tightening in Q3 could clip 10-15% of NVDA's data center revenue. Right now the direction is friendlier (deals being cut), but it's one tweet away from reversing. (2) The proposed AI Infrastructure & Sovereign Compute Act being kicked around in the Senate — if it passes with federal matching funds for state-level AI data centers, that's a direct multi-year tailwind because those buildouts run on NVDA silicon by default.

IS IT EXPENSIVE?

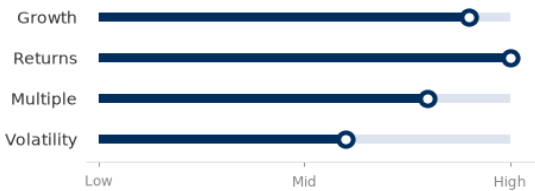
At ~\$5.3T market cap and roughly 49x forward earnings, you're paying \$49 for every \$1 of profit NVDA is expected to make next year — that's expensive vs. the S&P at ~22x, but cheap vs. where NVDA traded (60x+) during peak 2024 hype. The math works IF data center revenue keeps compounding 40%+ annually; it breaks if hyperscaler capex plateaus. Right now Meta, Microsoft, Google, and Amazon are all guiding capex HIGHER for 2026 — so the growth is funded.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$219.02
12M Price Target	\$250.00
Upside / (Downside)	+14.1%
Market Cap	\$5.31T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$5.80
Fwd P/E	49.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$235.00	\$222.00	\$205.00
6 Months	\$260.00	\$235.00	\$190.00
1 Year	\$290.00	\$250.00	\$180.00
2 Years	\$340.00	\$275.00	\$165.00
5 Years	\$450.00	\$340.00	\$150.00
10 Years	\$700.00	\$475.00	\$140.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.27%) and Materials (+1.23%) leading today — healthcare feels defensive/rotation, materials likely tied to the infrastructure/data-center buildout narrative (copper, steel, cooling systems all needed for AI factories).

COOLING OFF: Industrials and Real Estate flat-to-down today, though industrials still +5.5% on the week — some profit-taking after the recent run.

ROTATION WATCH: Money isn't leaving tech, it's broadening — Consumer Disc +6.3% and Industrials +5.5% on the week suggests investors are betting the AI capex cycle is spilling into the real economy (contractors, HVAC, power equipment).

RELATED PLAY: If you believe NVDA's story, the second-order beneficiaries are the power and cooling names (VRT, ETN, GEV) and the memory chip guys (MU, SK Hynix) — they sell into every NVDA rack shipped.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI chip designs for hyperscalers who want an alternative to NVDA — ironically benefits from the same trend.
- VRT (Vertiv): Data center cooling and power — direct pick-and-shovel to the NVDA buildout.

NVDA CONTEXT: NVDA is leading, not lagging — the 9% run in 4 sessions is textbook leadership behavior heading into earnings. When the biggest name in a sector breaks out first, it usually pulls the group with it, which is why you're seeing strength across semis and AI-adjacent names.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm not pounding the table at \$219 because we're near highs, but the setup into earnings + policy tailwinds + SpaceX-type validation keeps me firmly constructive.

POSITION SIZE: 5-8% of portfolio — this is a core holding for anyone with AI exposure, but don't oversize into an earnings print at 76% of the 52-week range.

ENTRY POINTS: Add on pullbacks to \$205-212. Any macro-driven flush toward \$195 is a gift.

TIME HORIZON: 12-24 months. The immediate catalyst is August earnings; the longer catalyst is the FY27 data center guide and how sovereign AI deals ramp.

WHEN TO BAIL: (1) China export policy reverses hard, (2) any hyperscaler cuts capex guidance by >10%, (3) gross margins compress below 70% — that would signal pricing power is cracking.

HEDGING: Simplest hedge is buying a small position in an inverse semi ETF (SOXS) or 6-month out-of-the-money puts — think of it like cheap insurance you hope expires worthless. Sizing 10-15% of your NVDA position value in hedges is plenty.